

Applying the Global Internal Audit Standards in the Public Sector

Content classification: The application considerations below are paraphrased from the supplied pages. Suggested controls, audit procedures, evidence, red flags, and illustrative findings are practical application content. They do not create additional IIA requirements or replace applicable legislation.

1. Overview and Purpose

The Global Internal Audit Standards apply to internal audit functions in both the public and private sectors. Public sector internal auditors, however, may operate within different legal, political, governance, organizational, and funding arrangements.

These arrangements can affect how particular requirements are applied, including the internal audit mandate, reporting relationships, oversight responsibilities, access to resources, and communication of results.

Public sector terminology may also differ. Responsibilities assigned to the “board” or “senior management” must be understood in the context of the organization’s actual governance structure and legal authority.

External quality assessments should therefore be performed by assessors who understand public sector activities and governance arrangements.

Public Sector Audit Priorities

Depending on the applicable mandate, internal audit work may focus on:

- Compliance with laws and regulations.
- Economy, efficiency, and effectiveness of government processes and programs.
- Safeguarding public resources.
- Appropriate and equitable use of resources in delivering public services.
- Alignment of organizational performance with strategic objectives.

Application area	Main consideration
Laws and Regulations	Understand how legislation shapes the mandate and affects conformance.
Governance and Organizational Structure	Identify the bodies responsible for oversight and safeguard independence.
Funding	Manage resources within the applicable budget and spending arrangements.

2. Laws and Regulations

Standards Application

The chief audit executive must understand the laws and regulations affecting the internal audit function's ability to conform fully with the Standards.

The internal audit charter or other documentation may explain how the function complies with legal requirements while addressing the intent of the Standards.

Where conformance is not possible, the chief audit executive must:

- Document the reason.
- Make appropriate disclosures.
- Continue to conform with all other requirements of the Standards.

A legal constraint affecting one requirement does not remove the obligation to meet other requirements.

Mandate and Charter Established by Legislation

Laws or regulations may establish the internal audit mandate and charter. In these circumstances, the chief audit executive may lack authority to amend them.

The supplied guidance recognizes that reviewing the mandate for updates may not be warranted in the same way as for an internally established mandate. A focused, documented review may nevertheless help confirm that the approach to legal and regulatory compliance remains accurately defined.

Public Disclosure and Information Protection

Public disclosure requirements may determine which documents must be released and which must remain protected.

Internal audit methodologies should address these requirements, including the treatment of audit reports, supporting information, and confidential records.

Public accountability does not mean that all audit information can be disclosed without restriction.

Private Discussions and Public Meetings

Legislation may restrict private discussions between the chief audit executive and the board. It may also require internal audit results to be presented at public meetings.

Communication methodologies should reflect these arrangements and provide an appropriate process for handling sensitive information.

External Assurance and Supreme Audit Institutions

An external assurance provider may be established by law. In some jurisdictions, a supreme audit institution may have authority that affects internal audit planning, coordination, or joint work.

Internal audit should understand the respective mandates and any legally established obligations. The arrangement depends on the jurisdiction and should not be assumed to apply identically to every public sector organization.

Public and Stakeholder Input

Public sector stakeholders may include elected officials, appointed officials, and users of public services.

Where appropriate, public input may inform audit planning and engagement risk assessments. Relevant sources can include feedback about utilities, public transport, public facilities, and administrative services.

Such input should be evaluated alongside other risk information.

Audit Focus Areas

- Completeness of the legal and regulatory requirements assessment.
- Alignment of the mandate and charter with established authority.
- Identification and disclosure of constraints affecting conformance.
- Rules governing publication and protection of information.
- Communication arrangements for public and private meetings.
- Coordination with legally mandated assurance providers.
- Consideration of relevant public-service concerns in planning.

Risks

Risk	Potential consequence
Legal responsibilities are misunderstood	Internal audit acts outside its authority or fails to perform mandated work.
Constraints on conformance are not documented	Oversight bodies receive an incomplete picture of compliance.
Disclosure requirements are applied incorrectly	Information is improperly withheld or protected information is released.
Responsibilities overlap without clear coordination	Audit work is duplicated or important areas remain uncovered.

Risk	Potential consequence
Relevant public concerns are overlooked	Planning may miss significant service-delivery risks.

Controls

Suggested control	Type
Register of legal requirements affecting the internal audit function	Preventive
Mapping of legal obligations to the mandate, charter, and methodology	Preventive
Documented assessment of constraints affecting conformance	Detective
Information classification and disclosure-review process	Preventive
Coordination arrangements reflecting each assurance provider's authority	Preventive
Structured evaluation of relevant public feedback during planning	Detective

Audit Procedures and Required Evidence

Audit procedure	Required evidence
Identify the legal provisions governing internal audit authority and responsibilities.	Applicable instruments, mandate, charter, legal interpretations where needed.
Compare the mandate and methodology with identified obligations.	Requirements mapping, approved methodologies, review records.
Examine situations where conformance is considered impossible.	Documented reasons, supporting analysis, disclosures, alternative arrangements.
Review selected decisions to disclose or withhold audit information.	Disclosure rules, classification records, review and approval documentation.
Assess coordination with external assurance providers.	Mandates, coordination records, agreed plans, joint-work arrangements.
Review how relevant public concerns inform audit planning.	Feedback records, risk assessments, planning discussions, documented prioritization.

Red Flags

- “The law does not allow it” is stated without identifying the relevant provision.
- A constraint affecting one requirement is used to justify broader nonconformance.
- Audit reports are published without a disclosure review.
- Required disclosures are withheld without a documented basis.
- Internal and external audit responsibilities are unclear.
- Repeated service complaints are excluded from risk assessment without evaluation.

Common Findings — Illustrative Examples

- The methodology did not reflect applicable disclosure obligations.
 - Constraints affecting conformance were not documented or appropriately disclosed.
 - The charter did not accurately describe the legally established mandate.
 - Coordination responsibilities with an external assurance provider were undefined.
 - Relevant stakeholder information was not evaluated during audit planning.
-

3. Governance and Organizational Structure

Standards Application

Public sector organizations may have several layers of governance within and outside the organization. These arrangements can affect the chief audit executive's reporting relationships, oversight, appointment, remuneration, and access to funding.

The responsibilities described in the Standards should be mapped to the bodies or individuals with the corresponding legal authority.

Role of the Board

A public sector board may primarily set policy and may lack authority to appoint, remove, or determine the remuneration of the chief audit executive.

In such circumstances, the board should still provide input to management on performance evaluation and appointment or removal decisions.

Meaning of Senior Management

The term “senior management” may have a different meaning in a particular organization.

Where it refers to management of the activity being audited, safeguards to independence must address the risk of interference with internal audit work.

Directions from Elected Officials

The chief audit executive should avoid taking direction from elected officials without first consulting the board and senior management responsible for overseeing internal audit, unless those officials have direct oversight responsibilities.

Examples of Governance Arrangements

The supplied guidance describes several possible arrangements:

Arrangement	Application consideration
Internal audit reports directly to a legislative body	That body may perform the board's oversight role.
Internal audit reports to the head of the organization	Reporting authority and independence safeguards need to be understood.
Internal audit operates within a component of a larger organization	Several governing bodies or reporting levels may be involved.
The chief audit executive is elected by voters	Oversight and accountability arrangements may differ significantly.
Internal audit reports to a manager within a department	The position may create independence concerns requiring assessment and safeguards.

An audit committee with public members independent of management can provide oversight, advice, and feedback and help safeguard independence. Its existence does not automatically resolve every independence concern.

Audit Focus Areas

- Identification of the appropriate oversight body.
- Clarity of functional and administrative reporting relationships.
- Authority over the chief audit executive's appointment and evaluation.
- Independence from the activities under review.
- Handling of directions from elected or appointed officials.
- Oversight in organizations with multiple governance levels.
- Effectiveness of independence safeguards.

Risks

Risk	Potential consequence
Oversight responsibilities are unclear	Important decisions lack ownership or approval.
Management of an audited activity controls internal audit work	Scope, findings, or communications may be influenced.
Conflicting directions come from several bodies	Priorities become inconsistent and accountability weakens.
Board input into chief audit executive decisions is absent	Oversight of leadership and performance is weakened.
Safeguards exist only on paper	Interference may continue without effective challenge.

Controls

Suggested control	Type
Governance responsibility matrix reflecting actual authority	Preventive
Clearly documented reporting relationships	Preventive
Process for identifying, assessing, and communicating independence concerns	Detective / Corrective
Consultation process for directions received outside established oversight channels	Preventive
Independent audit committee oversight, where appropriate	Preventive / Detective
Documented board input into relevant chief audit executive decisions	Preventive
Periodic evaluation of whether safeguards operate effectively	Detective

Audit Procedures and Required Evidence

Audit procedure	Required evidence
Map oversight responsibilities to the relevant governing bodies.	Governance instruments, organizational charts, committee terms of reference.
Compare actual reporting practices with documented arrangements.	Reporting records, meeting minutes, charter, organizational structure.
Assess whether management can improperly restrict scope, access, or reporting.	Scope changes, access restrictions, correspondence, escalation records.
Review how directions from elected officials are handled.	Requests, consultation records, mandate assessments, decisions.
Examine board participation in chief audit executive performance and personnel decisions.	Evaluation input, appointment or removal documentation, meeting records.
Evaluate the operation of independence safeguards.	Committee records, independence assessments, documented responses to interference.

Red Flags

- The manager responsible for the activity reviewed can suppress findings.
- Audit scope changes follow an undocumented external instruction.
- Several bodies each assume another body provides oversight.
- Reporting lines differ between the charter and actual practice.
- The chief audit executive's performance is assessed solely by the management being audited.
- An audit committee exists but receives little information about restrictions or interference.

Common Findings — Illustrative Examples

- Responsibilities across multiple oversight bodies were not clearly allocated.
 - Internal audit reporting arrangements created an unmanaged independence concern.
 - Directions from officials were accepted without establishing their authority or consulting the appropriate oversight bodies.
 - Board input into chief audit executive performance evaluation was not obtained.
 - Independence safeguards were documented but not operating effectively.
-

4. Funding

Standards Application

Public sector funding arrangements vary. The board or senior management may not have authority to approve or change the internal audit budget.

Some functions submit independent budget requests to a board or legislative body. Others receive an allocation within a wider organizational budget, potentially approved by an external authority.

The chief audit executive may advocate to the board for the resources needed to perform the function's responsibilities.

Even when legislation determines the budget, the chief audit executive must comply with the other applicable requirements relating to budget management.

Human Resource Constraints

Position classifications and employment arrangements may establish remuneration ranges and restrict the chief audit executive's or board's authority over pay.

The chief audit executive should collaborate with human resources to address staffing needs within these arrangements.

Technology Constraints

Internal audit may be limited to software approved for the organization.

The function should engage the board in supporting its technology needs and use available software as efficiently as possible while maintaining conformance with the Standards.

External Quality Assessment Funding

Where funding limits access to external quality assessment resources, participation in peer programs may be an option.

Any such arrangement still needs to satisfy the applicable qualification and independence requirements. A peer arrangement should not be treated as acceptable solely because it reduces cost.

Reporting to Funding Authorities

An external funding or oversight authority may require final engagement communications. Distribution arrangements should account for these obligations and the applicable information-protection requirements.

Audit Focus Areas

- Authority for budget approval and allocation.
- Sufficiency of resources relative to the mandate and audit plan.
- Communication of resource needs and limitations.
- Management of the approved budget.
- Staffing constraints and coordination with human resources.
- Technology needs and approved alternatives.
- Resources for external quality assessment.
- Reporting obligations to funding authorities.

Risks

Risk	Potential consequence
Funding does not support planned coverage	Significant areas may remain unaudited.
Resource limitations are not communicated	Oversight bodies underestimate their effect on delivery.
Staffing arrangements do not support required capabilities	Skills gaps affect audit quality.
Technology restrictions are not addressed	Testing coverage and efficiency are reduced.
External assessment planning ignores funding needs	Assessment arrangements may be delayed or unsuitable.
Funding-related reporting obligations are unclear	Required recipients do not receive appropriate communications.

Controls

Control	Type
Resource plan linking the mandate and audit plan to staffing, funding, and technology needs	Preventive
Documented communication of resource limitations and their effects	Detective / Corrective
Budget monitoring against approved allocations	Detective
Joint planning with human resources for required capabilities	Preventive
Technology needs assessment and review of approved options	Preventive
Advance resource planning for external quality assessment	Preventive
Distribution matrix identifying funding-authority reporting obligations	Preventive

Audit Procedures and Required Evidence — Suggested

Audit procedure	Required evidence
Identify who approves, allocates, and controls the internal audit budget.	Budget rules, approval records, allocation documents.
Compare planned work with available resources.	Audit plan, staffing plan, budget, capacity analysis.
Review how funding limitations and their effects were communicated.	Board communications, resource requests, coverage-impact assessments.
Assess budget monitoring and responses to significant variances.	Budget reports, expenditure records, variance explanations.
Examine collaboration with human resources on staffing constraints.	Workforce plans, role classifications, recruitment and development records.
Review technology needs and the suitability of approved tools.	Needs assessments, approved-software lists, capability evaluations.
Assess external quality assessment resource planning and any proposed peer arrangements.	Assessment plan, cost estimates, assessor qualifications and independence assessments.
Verify reporting obligations to external funding authorities.	Funding conditions, reporting requirements, distribution records.

Red Flags

- Audit coverage is reduced without explaining the resource-related effect.
- Budget requests are based only on prior-year spending.
- Vacancies persist without evaluating the impact on skills and delivery.
- Technology requests lack a connection to audit needs.
- Unapproved software is used to bypass organizational restrictions.
- A low-cost peer assessment is selected without examining independence.

- Required communications to a funding authority are omitted.

Common Findings — Illustrative Examples

- Resource allocations were not evaluated against the approved audit plan.
- The consequences of funding shortages were not communicated to the appropriate oversight body.
- Staffing constraints were not addressed through coordination with human resources.
- Technology limitations affected testing without a documented response.
- External quality assessment planning did not address the necessary funding or assessor suitability.
- Reporting arrangements did not reflect an external funding authority's established requirements.

5. Professional References

Related standard	Connection to this section
4.1 — Conformance with the Global Internal Audit Standards	Handling constraints affecting conformance.
5.1 — Use of Information	Appropriate use of information.
5.2 — Protection of Information	Disclosure and information protection.
6.1 — Internal Audit Mandate	Legally established authority and responsibilities.
6.2 — Internal Audit Charter	Documentation of mandate and governance arrangements.
6.3 — Board and Senior Management Support	Oversight, support, and access.
7.1 — Organizational Independence	Reporting relationships and safeguards.
8.1 — Board Interaction	Communication with the relevant oversight body.
8.2 — Resources	Sufficiency of resources.
8.4 — External Quality Assessment	Assessor competence and assessment arrangements.
9.4 — Internal Audit Plan	Planning informed by relevant risks and stakeholder input.
9.5 — Coordination and Reliance	Relationships with other assurance providers.
10.1 — Financial Resource Management	Budget planning and management.
10.2 — Human Resources Management	Staffing and capability constraints.
10.3 — Technological Resources	Technology needs and limitations.

Related standard	Connection to this section
11.1 — Building Relationships and Communicating with Stakeholders	Relationships with public sector stakeholders.
11.2 — Effective Communication	Quality of communications.
13.2 — Engagement Risk Assessment	Consideration of relevant public-service risks.
15.1 — Final Engagement Communication	Reporting and appropriate distribution.
